"It took 25 years to recover."

> For a dividend-collecting investor: about 7.

The Dow closes at a record 381.17.

It closes at 41.22. Down 89%.

-89%

Dow close: 381.17 to 41.22 in under three years

Back above 381.17 on Nov 23, 1954.

25 years

If you only look at the price index

Dividends. The Dow ignores them.

~14%

Market dividend yield at the 1932 low

> Robert Shiller's data

Falling prices. By late 1936, the CPI was 18%+ below fall 1929.

> Each dollar bought more

Break-even for the average stock: late 1936.

PRICE ONLY

Nov 1954

TOTAL RETURN, AFTER DEFLATION

Late 1936

> Mark Hulbert, New York Times, 2009

About 7 years, not 25.

YOUR TAKEAWAY

Judge investments by total return:

1. Count dividends
2. Adjust for inflation
3. Keep a long horizon

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